

Fundamentals of Management

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Chapter 3 - Managing the External Environment & Organizational Culture

Learning Objectives

- Distinguish between the **omnipotent** view & **symbolic** view of managers.
- Describe external environmental components & their impact on organizations.
- Understand **environmental uncertainty** and how it affects decision-making.
- What organizational culture is, its dimensions, formation, and maintenance.
- How culture influences managerial practices and organizational outcomes.
- Recognize current issues in culture (e.g., innovation, customer service, ethics, etc.).

What Is the External Environment?

Definition:

Forces and institutions outside the organization that can affect its performance.

Types:

- **General Environment:** Broad factors that may influence many or all organizations (economic, legal, technological, etc.)
- **Specific Environment:** Forces with which an organization interacts directly and have a direct impact. (Immediate stakeholders like customers, suppliers, competitors, government)

Components of the External Environment

- **Economic:** Inflation, employment rates, interest rates
- **Demographic:** Age, gender, education, income levels
- **Political/Legal:** Laws, government policies, political stability
- **Sociocultural:** Values, attitudes, lifestyles
- **Technological:** Innovation, automation, IT
- **Global:** Trade agreements, global markets, international competitors

How Environment Affects Managers

- **Jobs & Employment:** Demand for different skills and roles
- **Environmental Uncertainty:**
 - **Degree of change** (stable vs dynamic)
 - **Degree of complexity** (simple vs complex)
- **Stakeholders:** Customers, Employees, Suppliers, Shareholders, Media etc.
- **Stakeholder Relationships:** Expectations and pressures from key groups

Environmental Uncertainty & Complexity

- Environmental Uncertainty is the degree to which managers can predict which external changes and trends will affect their business. It depends on:
 1. Change (stable vs dynamic environment)
 2. Complexity (number of external factors and their interconnectedness)
- High uncertainty → need for flexibility, scanning, scenario planning.

Stakeholders

- **Stakeholders Definition:** Individuals/groups who are affected by or can affect the organization's actions.
- **Importance:** stakeholder demands affect decisions, relationships, legitimacy.

Omnipotent vs Symbolic View of Management

OMNIPOTENT VIEW:

- Managers are directly responsible for an organization's success or failure.

SYMBOLIC VIEW:

- A lot of organization's outcomes are due to external forces beyond the manager's control.

Implication: while managers do have significant influence, their actions are constrained by external and internal factors.

Constraints on Managerial Discretion

- **External constraints:** economy, customers, competition, government regulation, technology, etc.
- **Internal constraints:** organizational culture, resources, history, policies.

Organizational Culture

- **Organizational Culture – Definition**
 - A system of shared values, principles, traditions, and ways of doing things that shape behavior in the organization.
- Shapes how employees behave and interact
- Influences decision-making
- Strong cultures = consistent behavior across the organization

Dimensions of Organizational Culture

- Robbins & Coulter identify **seven dimensions**:
 - **Attention to Detail**
 - **Outcome Orientation**
 - **People Orientation**
 - **Team Orientation**
 - **Aggressiveness**
 - **Stability**
 - **Innovation & Risk Taking**

How Culture is Formed

- **Origins of culture**
 - Founders' influence
 - Shared experiences
 - Leadership behavior
 - Selection practices

How Culture Is Maintained

- Maintenance through leadership behavior, selection/hiring that fits culture, socialization, rites/rituals, stories, symbols.
 - **Socialization:** New employees learn the “way things are done”
 - **Stories and heroes:** Organizational legends and history
 - **Symbols and language:** Logos, slogans, office layout, dress code
 - **Rituals and ceremonies:** Awards, celebrations, traditions

Strong vs Weak Cultures

Strong Culture

- High alignment with values
- Consistent behavior
- Clear expectations

Weak Culture

- Low alignment
- Varied behavior
- Unclear expectations

Managerial Strategies for Dealing with Environment & Culture

- **Environmental scanning:** monitoring trends, competitors, regulatory changes.
- **Flexibility and adaptability** in structures/processes.
- **Aligning culture with strategy.** If strategy changes, culture might need adjustment.
- **Communicating culture:** through leadership, symbols, stories.

Culture & the External Environment

- **Dynamic Environments** → Need cultures that are flexible, innovative
- **Stable Environments** → Value efficiency, consistency
- Culture can help or hinder organizational **adaptability**

Managerial Decisions & Culture

- Culture influences managerial decisions in **planning, organizing, leading, controlling**.
 - Planning and decision-making
 - Organizing structure and processes
 - Leadership style
 - Control mechanisms (rules, evaluation, rewards)
- It can help alignment, motivation, identity, consistency.
- It can also be a liability: resistant to change, impedes innovation, discourages diversity, willingness to take risks.

Assessing and Changing Culture

- **How to assess:**
 - Surveys, interviews, observations
 - Analyze artifacts, values, and assumptions
- **When to change:**
 - Mergers, crises, strategic shifts
- **How to change:**
 - New leadership
 - Change symbols, rituals, language
 - Align HR practices (hiring, training, rewards)

ANY QUESTIONS ???????????